

The role of national distance in international business: a review from 1980 to 2017

Role of
national
distance

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Abstract

Purpose – During the past several decades, national distance (ND) increasingly became a vital cornerstone in international business (IB) research, as both explicit and implicit distance are parts of the essential reasons for IB activities. However, there are various and chaotic methods to measure ND in the last literature; therefore, this paper aims to suggest legitimate uses of ND in the IB field and the best ND dimensions for various situations.

Design/methodology/approach – This paper used a historical overview of the theoretical background and conceptual development of ND based on the past four decades worth of studies in leading 17-IB journals using Google Scholar. The authors also focus on multiform ND measurement methods and details through qualitative and quantitative analysis based on previous studies' data collection.

Findings – This research summarized the common measurement methods and elements of different ND and proposed solutions based on a multifaceted analysis.

Originality/value – The micro analysis examines each type of ND in terms of the proportion of variables, issues, measurement methods, representative proxies beyond previous studies. This research also tried to provide clarity and suggest solutions to these problems through our macro& micro-analysis.

Keywords International business, Measurement, National distance

Paper type Research paper

1. Introduction

National distance (ND) has received a great deal of attention in many fields, particularly in the international business (IB) literature. In IB field, ND was initially simply defined as the direct geographic distance (GD) by the negative correlation with IB activities from the most of the research results, and it was gradually updated to include cultural, economic, linguistic and other differences between countries using numerical values with development in academia and practice (Hakanson and Ambos, 2010). Beyond the category of “physical



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distance” in space, ND includes the various distance systems that can influence the internationalization of firms in many ways, such as ownership choice in an acquisition (Chari and Shaikh, 2016), entry mode choice (Kogut and Singh, 1988), foreign investments (Blomkvist and Drogendijk, 2013) and human resource management issues (Tanure *et al.*, 2009).

During the past several decades, ND has increasingly become a vital cornerstone in IB research, as both explicit and implicit distance are parts of the essential reasons for IB activities. The number of articles on ND in the IB field also shows the importance of this topic. On Google Scholar and the Web of Science (WOS), a search reveals 5,400,000 and 8,223 articles, respectively, for the key word “national distance.”

Despite the popularity and the large body of ND-related research by IB scholars, we identify some problems or arguments worthy of our consideration that were not explored sufficiently in previous studies by focusing on the types of ND proxies, items of ND construct and specific methodological or theoretical issues through a comprehensive literature review.

From the review of literatures of ND, we found widely use of various distances in the IB research area. The specific features of using distance variable in the previous research are not providing proper description (Beugelsdijk *et al.*, 2018a), lack of comprehensive study (Hutzschenreuter *et al.*, 2015) and no consensus of distance theory (Beugelsdijk *et al.*, 2018a, 2018b). In this regard, Shenkar (2001) has already pointed out the complexity based on the vague notion of the culture, and cultural distance is still powerful proxy for measuring international business activities (Konara and Mohr, 2019). Moreover, measuring distance have made great progress in previous literatures (Bae and Salomon, 2010). Although distance has abstract characteristics, its value has become brilliant in IB research.

Previous literatures focused on which distance to use (Hutzschenreuter *et al.*, 2015; Beugelsdijk *et al.*, 2018a), which data to use (Beugelsdijk *et al.*, 2018a; Beugelsdijk *et al.*, 2018b), discussion of distance theory (Beugelsdijk *et al.*, 2018a; Kostova *et al.*, 2019) and effect of distance on IB (Hutzschenreuter *et al.*, 2015). In the similar manner, our paper also describes the importance and role of distance in international business. Beyond these, our study might be innovatively different from existing literature reviews of the analogous topic. Our research purpose is exploring the types of ND proxies, items used in the ND construct, to find out how many dimensions of ND to use and how to measure each ND dimension.

More specifically, we discuss how to conceptualize national distance by the former scholars. Given the multidimensional nature of ND, it is understandable that the literature reviews to different ND concept. Some studies used GD as a variable for no other reason than that it is a representative proxy variable to measure ND (Asakawa *et al.*, 2018). There are also many scholars who used cultural distance (CD) to explain some phenomenon of international activities (Gollnhofer and Turkina, 2015; Na and Nahata, 2016). Beugelsdijk *et al.* (2020) gave recommendations based on the theory. Additionally, they supported them by calculating cultural and institutional distance for country pairs. Ghemawat (2001) introduced the CAGE framework, referring not only to cultural but also to administrative, geographical and economic indices to define national distances. Berry *et al.* (2010) calculate dyadic distances using the Mahalanobis method to disaggregate the ND construct by proposing a set of multidimensional measures, including cultural, administrative, economic, demographic, financial, political, knowledge and global connectedness as well as geographic distance. Many scholars in the field of IB have different views on the delimiting of national distance, so what should be the ND definition and what should it be made of? These questions would be one of the key contents of our research, and we anticipate that our

research results could provide reference as far as possible for the theoretical development on the definition of national distance.

Moreover, among the numerous ND measurements, which items should be drawn into by our research conclusion would be also one of the core contributions of this study. Some scholars use Hofstede's dimension to construct cultural distance, while others use GLOBE Project, Schwartz or other dimensions to measure it. There are also very inconsistent phenomena in our familiar institutional distance, [Scott \(2008\)](#) described institutional distance based on the social structures with high flexibility. And, in that paper, cultural-cognitive, normative and regulative factors formed the social structures that connected to activities and resources providing importance for social life as well as stability. And [North's \(1990\)](#) definitions contain important references to the need to distinguish between two main categories of institutional distance, namely, formal and informal institutions. Some widely acknowledged types of informal institutional distance that emerge from the previous literature are trust, rule and corruption, but [Harriss-White \(2010\)](#) suggests that the informal labour market could also be considered as a conflict management institution. [Holmes et al. \(2013\)](#) examined informal institutions by the cultural dimensions (collectivism and future orientation). Beyond cultural and institutional distance, other ND are also faced with the analogous poser of dimension choice. Only by using the scientific elements may make the distance measurement more reasonable and could better conduct the study on the transnational trade activities.

Additionally, it is noteworthy that distance proxies usually differed by the different measurement items; however, the cross-usage of elements makes the theoretical basis of national distance measurement confused, which often lead to exceptions to some classifications. For instance, language frequently be known as a part of culture, but some studies use this cultural variable as one of the elements to measure psychic distance, institutional distance and even administrative distance ([Dow and Karunaratna, 2006](#); [Lu et al., 2014](#)). It is not only the linguistic factor that covers two or more ND measurements; others include individualism, power distance, politics, religion, etc. This phenomenon can lead to confusion about the item to use to represent the specific distance in a measurement.

Based on these discussions, we thoroughly reviewed the ND-related articles published in IB journals and identified some limitations by focusing on the multidimensional nature of ND, content validity and measurement method. In addition to the contribution of these theoretical attempts, we also try hard to clearly describe the essence of ND through such our in-depth summary study, so as to provide some inspiration for the management of multinational enterprises or international marketing activities, and help them carry out their international business activities smoothly.

The paper is structured as follows. In Section 2, we briefly analyze the previous literature to find some common measurement approaches for ND from the macro-perspective. Then, in Section 3, we analyze the micro-perspectives, focusing on the proportion of variables, measurement methods, representative proxies, concerned issues and existing problems. In Section 4, we discuss the results and conclude with the implications and limitations of our study and suggest future research directions.

2. Analyzing the national distance measurement in the macro-perspective: realities and challenges

2.1 Data collection

To ensure a comprehensive, universal ND search and a solid foundation for our research, we adopt the inductive method using the Google Scholar search site with 12 keywords: cultural distance (CD), institutional distance (ID), psychic distance (Psy.D), economic distance (ED),

geographic distance (GD), knowledge distance (KD), financial distance (FD), political distance (PD), global connectedness (GCD), administrative distance (AD), linguistic distance (LD) and demographic distance (DD). We picked the 17 top-ranked IB journals[1] based on the literature and criteria above. The search returned more than 4,000 academic papers related to the 12 keywords from 1980 to 2017. From these papers, we downloaded only 3,872 articles (due to technical and system problems), which form the core sample for our research. We then read all the 3,872 articles and arranged the information by authors, publication year, measurement methods, measurement items, research variables, representative results and main econometrical method. The data collection took more than half a year and provided us with the most comprehensive data on measurements in the ND literature so far.

2.2 Fundamental state of national distance

Table 1 summarizes the ND details and representative measurement items from our collected information. Among the related empirical papers, CD is the most popular key variable in IB research areas such as cross-border marketing, multinational strategy, international management and global finance. IB researchers also considered institutional distance (ID), Psy.D, GD and ED with a high frequency. Some proposed types of distance (e. g. demographic distance) appear in a relatively small number of empirical works with fewer numerical proxies.

In addition, we easily identified the proxy used for ND, which was usually measured differently using many items. For instance, some items used to measure CD include power distance, individualism, uncertainty avoidance, masculinity, long-term orientation, survey score, future focus, uncertainty circumvention, humane orientation, language, regional block, historical ties, religion, corruption index, communicative distance, etc. Factors used to measure another type of distance, ID, include property rights, among others. In addition to CD and ID, there are many other items for measuring other distance proxies. Furthermore, we found that the total number of papers was more than the number of empirical papers in Table 1, as most of our collected papers mention ND, but do not do the research for empirical calculation.

Figure 1 indicates that most studies use only one kind of distance variable to measure ND (459 papers). The figure arranges studies using two, three, four, five and nine ND measurements in ascending order. Measures such as CD, CD*GD, GD, ID, CD*ID, Psy.D and so on appear at a high frequency, especially CD (as the only measure of ND), which accounts for 57.7% of the studies. Besides CD being the only measure, it is also the most popular variable in the studies that use a comprehensive method to measure ND, such as CD*GD, CD*GD*ID, AD*CD*GD, etc. Among the 60 ND measurement methods, scholars usually face the problem of deciding whether to choose existing measures or to develop new ones, which is a cautious and serious process.

2.3 Variation in measuring national distance

Figure 2 shows the trends in each type of distance measurement from 1980 to 2017. CD, AD, GD and Psy.D appeared in the 1980s as the proxies to evaluate IB interactions. Subsequently, other typological NDs emerged, such as ID, ED, DD and LD in different ways. In recent years, some scholars have presented KD, FD, GC or PD. These distance types appear in different periods, but the rapid increase in papers started in the mid-2000s. In other words, more research pays attention to measuring ND because IB activities have become more frequent, and more transnational activities mean more issues arise in the process; ND is an issue that cannot be ignored.

Table 1.
Fundamental
information of all
papers in the top-17
journals

Variable	No. of empirical papers	No. of all papers	Partial measurement items
CD	534	2310	power distance, uncertainty avoidance, individualism, masculinity, long-term orientation, language, religion, geography, country cluster, etc.
Psy.D	30	737	business practices, listing of psychic distance, power distance, individualism, masculinity uncertainty avoidance, political system, industrial development, education level, religion, language, etc.
ID	61	556	property rights, business freedom, investment freedom, trade freedom, political stability and absence of violence, voice and accountability, control of corruption, government effectiveness, regulatory quality, etc.
ED	44	170	technological capabilities, trade, wages, economic development, export, import, inflation, income, gdp per capita, etc.
GD	104	492	distance between the largest cities, distance between the most populated cities, dummy variable, distance between countries' geographic center, distance between the capital cities, etc.
AD	21	46	language, political stability and absence of violence, regulatory quality, religion, rule of law, voice and accountability, colonizer-colonized link, control of corruption, etc.
LD	20	63	syntactic distance, difficulty in learning a foreign language, branch length from language tree, difference between the major languages, language friction index, etc.
DD	6	12	life expectancy, birth rate, population under certain age, etc.
KD	9	29	knowledge access, moderating effect of knowledge distance, non-resident patent applications, resident patent applications, university enrollments, patents, scientific articles, etc.
FD	11	16	private credit, stock market cap, listed companies, size of the stock credit market, etc.
PD	12	30	democracy score, government consumption, stock market capabilities, veto power, WTO membership, political stability, etc.
GC	4	19	country's internet user share, internet user growth, internet users, international tourism expenditure, international tourism receipts

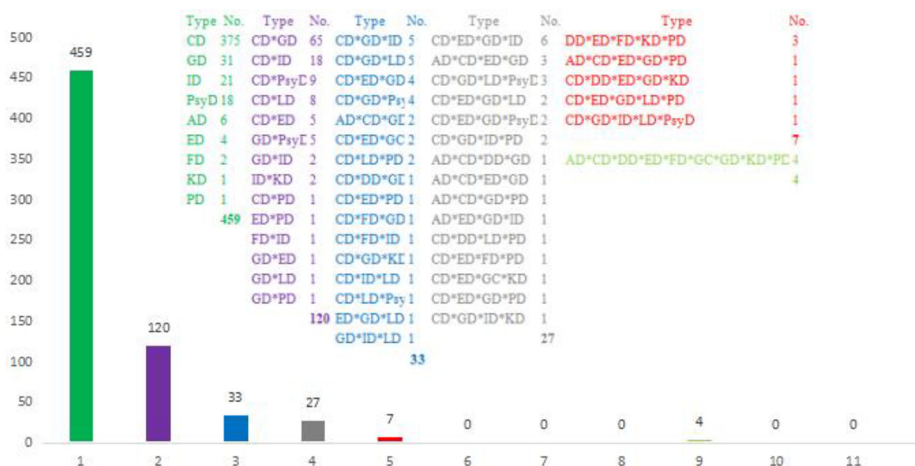


Figure 1.
The number of
comprehensive ND
measurement in a
single paper

Figure 2.
The variation trend of each national distance from 1980 to 2017

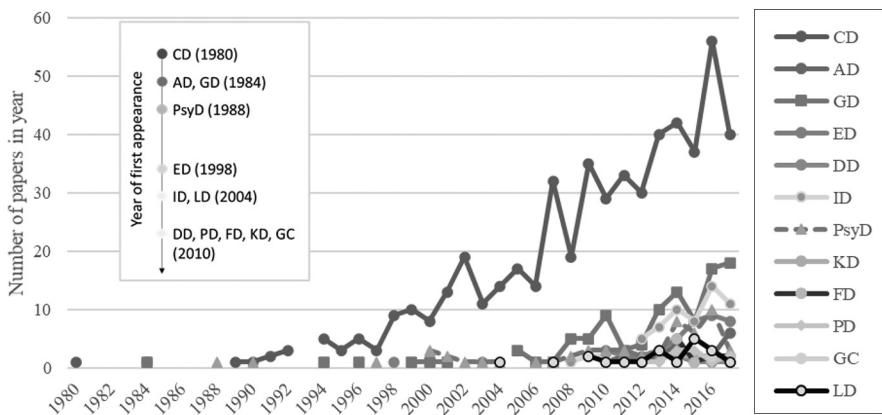


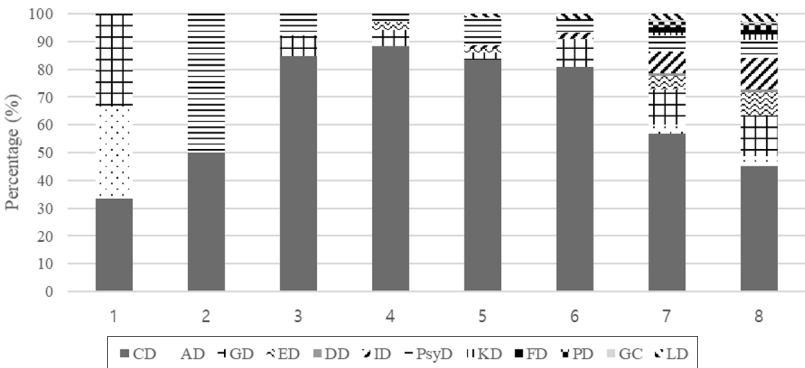
Figure 3 confirms that CD garnered enormous popularity as a measure of ND from 1980, and further analysis reveals the reason that Hofstede’s culture dimension plays an important role in the business and social fields; the [Kogut and Singh \(1988\)](#) index is also a practical calculation method.

Besides CD, ND developed rapidly from relatively single forms to diverse ones, and the papers on the measurement of ID, ED and KD show an increasing trend. In particular, ND measurement has become more diverse with the emergence of comprehensive ND, such as the method by [Berry et al. \(2010\)](#). Compared with a single distance measure, reasonable comprehensive distance can explain ND in IB research work better overall.

2.4 The challenges in national distance measurement

Based on the above-mentioned findings, we argue that there are great gaps in the factors and numbers of different NDs, and the measurement items yield varying results that lack uniformity. This raises important questions regarding previous research using many kinds

Figure 3.
The ratio changes of each ND’s empirical papers to the all empirical papers by different period from the top-17 journals



Notes: period 1 represents 1980~1984; 2 represents 1985~1989; 3 represents 1990~1994; 4 represents 1995~1999; 5 represents 2000~2004; 6 represents 2005~2009; 7 represents 2010~2014; 8 represents 2015~2017. Lorem Ipsum

of ND measures: which measure to use for CD, and how many items to use in a single study? This issue is the biggest challenge for ND research under such complex circumstances in the IB field. Therefore, we undertook an in-depth micro analysis of all the collected papers. Our micro analysis examines each type of distance in terms of the proportion of variables, issues, measurement methods, representative proxies, etc. We aim to provide clarity and suggest solutions to these problems in the next section.

3. Micro analysis of 12 national distance measurements

3.1 Cultural distance

CD is a common measure in IB that applies to many business activities across countries. CD has special characteristics that are difficult to capture due to the complex and intangible nature of culture. Therefore, many researchers use CD with various measurements; some show similar, while others show contradictory characteristics. From [Figure 4](#), CD measurements are almost heterogeneous. CD in previous IB literature depended mostly on well-known CD measurements among similar cultural value scores, such as Globe and Swartz's score. Hofstede's score was used as a measure of CD in 68.8% of our sample papers. Researchers used Hofstede's cultural value scores in terms of the original values, calculated the index or used both.

Additionally, CD has different norms and cultural determinants with non-values such as language, religion, corruption index, historical ties, legal system and regional bloc. Using the previous literature, researchers can determine the CD values and non-values in a single society. Hence, choosing an appropriate CD measurement can be a difficult decision.

In terms of micro IB activities, CD increased its level of analysis from national CD to the organizational and firm level. On the one hand, it relates to the argument whether multinational enterprises' (MNEs') location choice arises globally or regionally ([Flores and Aguilera, 2007](#)). On the other, globalization scholars claim that MNEs' location choices are a part of the globalization process ([Clark et al., 2004](#); [Stevens and Bird, 2004](#); [Dunning et al., 2007](#)). According to their argument, the use of regionalism as a dependent variable does not necessarily include foreign activities ([Clark and Knowles, 2003](#); [Stevens and Bird, 2004](#)). In their view, country-level data are more appropriate to examine a firm's global activities. In contrast, regionalism scholars argue that MNEs' activities in the past decades were based on regionalism ([Rugman, 2003](#)). The firms face ND when they operate their affiliates across countries ([Arregle et al., 2016](#)). In addition, taking firm- and organizational-level data enriches the analysis to capture the potential influences of MNEs' international activities ([Flores and Aguilera, 2007](#)).

We found various methods to measure CD in the literature, because it has been used many years. A direct CD value could be used to analyze the distance between countries, while others use simple or complicated methods to calculate distance. Some measures use a similar concept, but different estimation methods, such as Mahalanobis distance, Euclidean distance, Cartesian distance and absolute difference. Among the various methods, [Kogut and Singh's \(1988\)](#) method is most widely adopted in IB studies. As such, the complexity in CD decreases the validity problem.

3.2 Psychic distance

According to our collection and analysis, the IB literature from the top journals developed different concepts or measures of Psy.D to address many issues (737 papers) and measurement dimensions (up to 77 types). The factors of language, education level, religion, political system and industrial development are the most popular ways to measure Psy.D, with a 30.1% frequency ([Figure 5](#)).

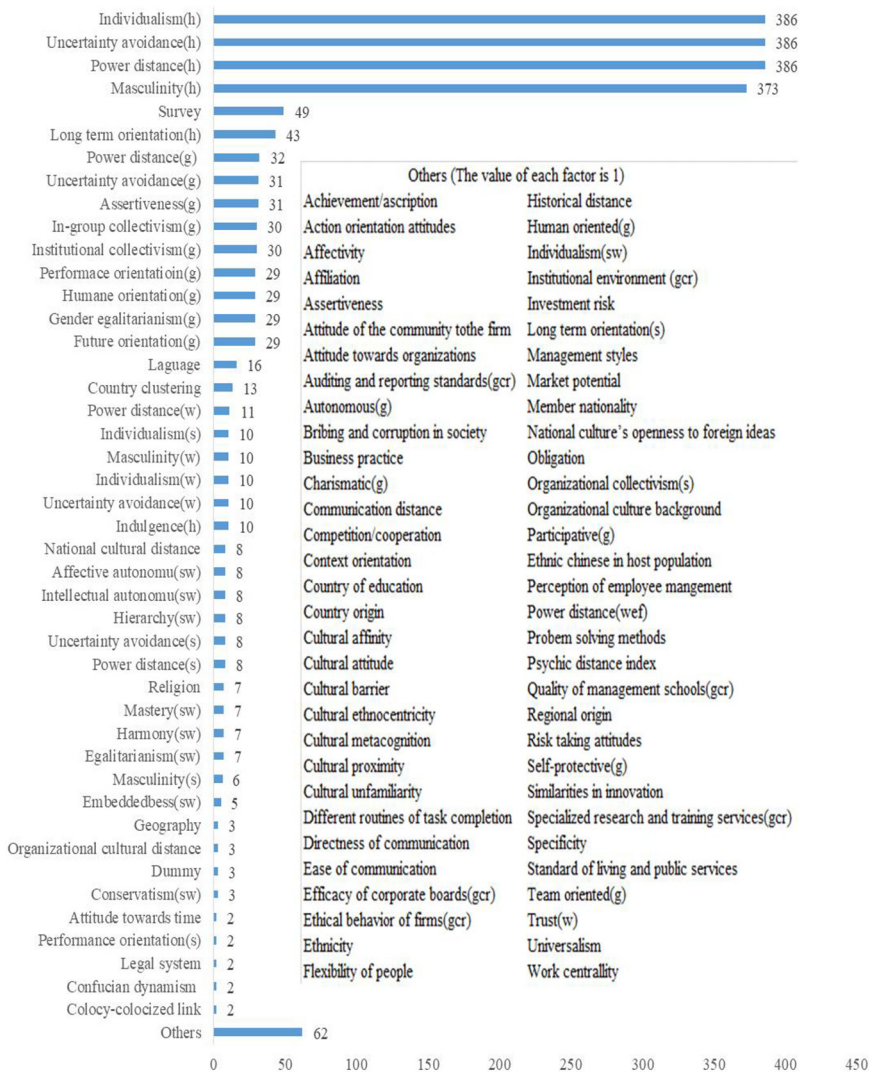


Figure 4.
The detailed items of
cultural distance (CD)
measurement

As the Psy.D concept develops based on CD, many scholars still use CD items, especially Hofstede's five dimensions, to study and measure Psy.D (16.4%). Even the worldwide governance indicators index (WGI) (including voice and accountability, political stability and absence of violence, government effectiveness, regulatory quality, rule of law, and control of corruption) appear in some Psy.D measurements. In additional, the economic environment, communication infrastructure, legal system, geography, degree of democracy, business practices, etc., occupies an important place in the Psy.D research. Psy.D studies intended to contribute to the understanding and measurement of the phenomenon by testing different data collection instruments designed to increase the accuracy of the measurement.

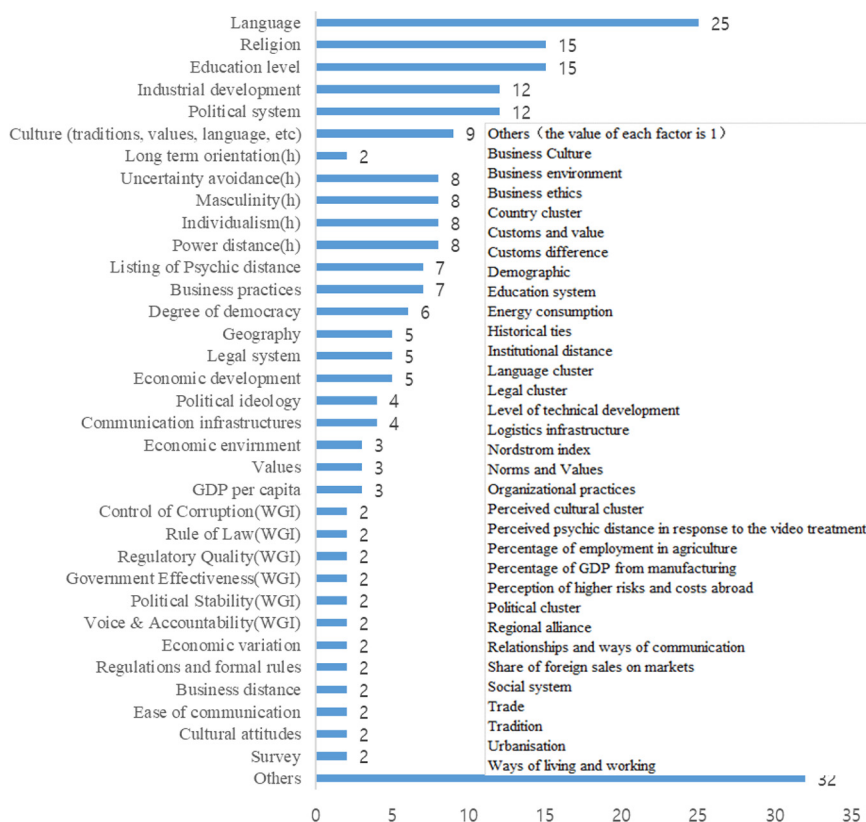


Figure 5.
The detailed items of
psychic distance (Psy.
D) measurement

Many findings suggest that Psy.D cannot be ignored as an explanatory factor in ownership choice in acquisition, alliance performance, entry mode choice, new product innovation, foreign investments, technology transfer, expansion patterns or outward FDI. However, the methods to measure Psy.D mentioned above are too varied, and none are as accepted by most scholars as in CD. Moreover, unlike other ND measures, some studies take the other ND measures (CD, LD, Business distance) as part of Psy.D, which makes it a comprehensive distance measure.

3.3 Institutional distance

Figure 6 shows the details of subdivision of the dimension to measure ID according to our extraction and classification of this item from our sample studies. From the 104 factors, the WGI (including voice and accountability, political stability and absence of violence, government effectiveness, regulatory quality, rule of law and control of corruption) proposed by Kaufmann *et al.* occupies a large proportion of 40.7% as the most used dimensions, as scholars believe that the level of institution cannot be separated from the ability of the government and the degree of incorruptibility (Malhotra and Gaur, 2014; Contractor *et al.*, 2014; Ando, 2012; Shirodkar and Konara, 2016; Chari and Shaikh, 2016). The Heritage Foundation

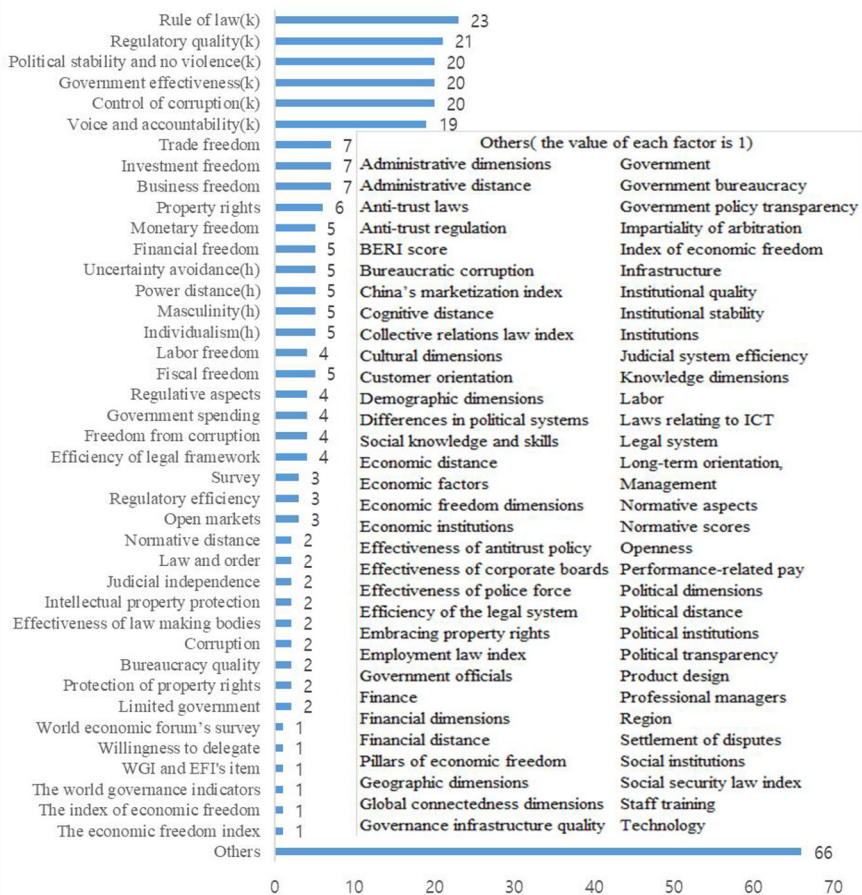


Figure 6.
The detailed items of
institutional distance
(ID) measurement

Index (business freedom, trade freedom, investment freedom, labor freedom and proprietary rights) measures the impact of liberty and free markets around the globe that are also widely absorbed as measurement elements, up to 12.2% (Petrou, 2015; Popli *et al.*, 2016; Gubbi and Elango, 2016; Lindorfer *et al.*, 2017; Trąpczyński and Gorynia, 2017; Cho and Ahn, 2017). Berry *et al.* (2010) ND dimensions are an important composite factor in ID measurements used by some modern scholars (Pinto *et al.*, 2017; Lindner *et al.*, 2016).

Furthermore, Hofstede's original four cultural dimensions (6.6%) are mentioned as assignable parts (Jensen and Szulanski, 2004; Ando, 2012; Jiang *et al.*, 2014; Liou *et al.*, 2016). If these factors are categorized by attributes, government politics (e.g. government effectiveness, control of corruption, political stability and no violence, government policy transparency), law and regulation (e.g. rule of law, law and order, employment law index), economics and finance (e.g. financial freedom, open market, monetary freedom, business freedom, investment freedom, trade freedom), society and culture (e.g. individualism, masculinity, power distance, uncertainty avoidance, demographic dimensions) are the four main components for measuring ID.

These theoretical arguments indicate that the impact of distance on IB activities varies according to the aspects of the concept and measurement as a useful tool to analyze IB relationships. Studies measure ID from diverse points of view. Some capture ID only as the effectiveness of institutional factors that are “internal” to the firm and ignore the “external” institutional factors such as differences between business systems. In addition, many scholars developed new measures of ID independently or based on other works, which might address one aspect but lose sight of another factor through a different focus. However, these studies are worth citing in further research. Additionally, another problem is the emergence of factors unrelated to ID in prior research that should not be regarded as a scientific factor. The field requires a more rigorous method and attitude to eliminate unrelated elements.

3.4 Economic distance

The economy is the most basic element of almost all IB activities. Studying the differences in national economies can help build the economic distance. As another important ND factor, economic distance is estimated from systemic differences between countries such as economic development, exports, imports, inflation, income and GDP per capita. Among the 28 factors, GDP per capita is a universal metric for economic distance between countries (18.6%). Additionally, income, inflation, exports and imports appear at a high frequency as measures for economic distance. These factors may be categorized by attribute into four main parts: economics and trade, income, Human Resources Management and government and politics. Like the previous ND measures, GDP per capita is one of the most popular factors, but many scholars tend to choose from the four categories according to their purpose. Like CD, there are diverse estimation methods for distance, such as Euclidean distance, Mahalanobis distance and absolute difference. However, proxies for economic distance are limited due to the usage of the measurement. For example, a study may use the same estimation method used for a different dependent variable (Figure 7).

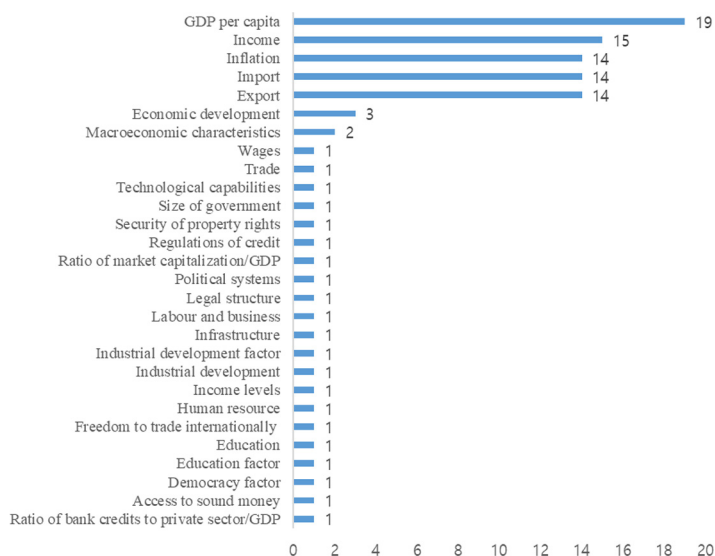


Figure 7.
The detailed items of
economic distance
(ED) measurement

The differences in GDP per capita appeared in estimates of FDI outflows (Blomkvist and Drogendijk, 2013), cross-border acquisition (Chari and Shaikh, 2016), subsidiary survival (Demirbag *et al.*, 2011) and entry timing (Makino and Tsang, 2011). In addition, there is still no standardized method for ED. Even some factors unrelated to the economy appear for the sake of measurement.

3.5 Geographic distance

There are three main approaches to measuring GD: physical distance, non-physical distance and a dummy variable (Figure 8). The IB literature on GD focused on the physical distance most often in studies of international activities. Of the 36 factors, “the distance between the capital cities or countries’ geographic centers” are the most popular variables (45.7%). Air shipping distance and latitude and longitude distance belong to this classification.

The situation is more complicated and varied by geographical location scoring, such as capital to capital, center to center, HQ’s to the subsidiary, major city to major city, most populated city to most populated city and acquirers to sellers. This location method depends on the actual situation, although MNEs prefer to consider the distance from the “HQs to the subsidiary” instead of “capital to capital.” Different from other variables, GD measurements

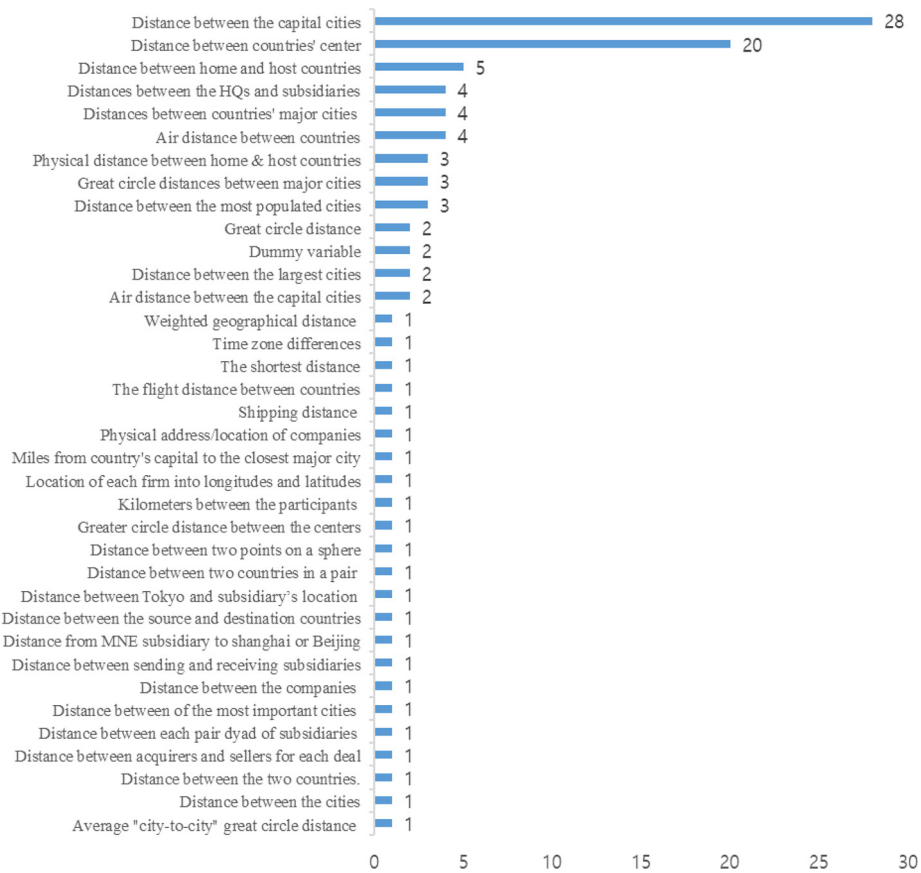


Figure 8.
The detailed items of
geographic distance
(GD) measurement

are mainly based on the actual distance, and most scholars select the appropriate method according to the research content. GD measurement methods are diverse, but there does not appear to be an obvious controversy; it is the original ND source with the most common ground in understanding and calculation.

3.6 Political distance

Politics is a key part of a country and has an enormous impact on international activities. Political distance (PD) is another form of ND that cannot be ignored. Prior studies use 23 factors, which can be divided roughly into three parts: political system, treaties and economic finance. As with most measures of ND, there is no standardized measurement method, which makes it difficult to use this factor in an empirical test of PD in international activities. For an analysis that includes PD, researchers face the empirical questions of which is the best proxy for FDI, trade and entry mode, among others (Figure 9).

3.7 Administrative distance

Among several variables that have increasingly appeared in empirical papers examining AD in recent years, the legal system appears in nearly 14% of the studies as the first key element. From a methodological perspective, Berry *et al.*'s (2011) AD dimensions (colonizer-colonized link, common language, common religion, legal system) have an absolute advantage, as they appeared in 32.2% of the studies. Not only for measuring AD, Berry *et al.* (2010) also established a significant milestone for other ND measurements. The WGI is the second most popular measure, at 22.6% (Figure 10).

These dimensions may be classified by characteristics into four main categories: legal and rule, society and culture, government and politics and economics. As the first factor to measure AD, the legal system is the most popular, which is surprising at first, but it should be the most basic part as it constrains all actions in every government or organization. Although there are many factors for measuring AD, according to our literature analysis, key

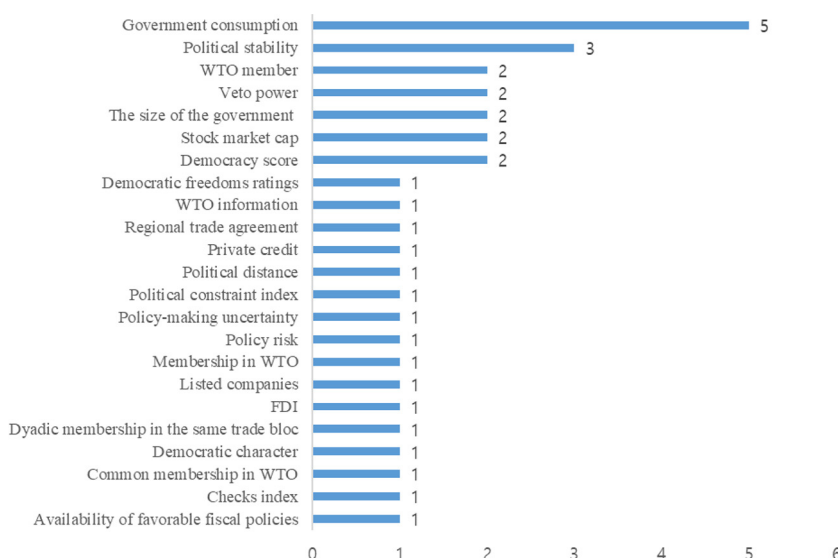
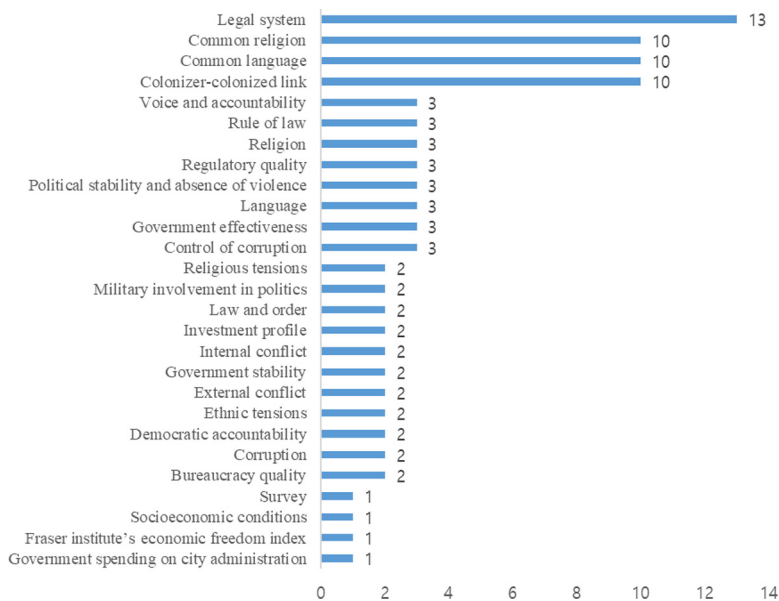


Figure 9.
The detailed items of
political distance (PD)
measurement

Figure 10.
The detailed items of
administrative
distance (AD)
measurement



factors such as legal, religious, language and colonizer-colonized links should be representative and could provide an important basis for AD measurement.

3.8 Linguistic distance

In terms of linguistic distance (LD), the incidence of languages and the differences between the major languages are the top two dimensions, which are part of Psy.D, according to [Dow and Karunaratna \(2006\)](#). Additionally, [Chen et al. \(1995\)](#) proposed the language dendrogram tree approach, which has epoch-making significance for scaling LD. Thereafter, some other scholars used it to measure LD in IB, especially in the social field. However, more than half of the dimensions are other aspects such as idioms, scores of language-speaking and learning foreign languages. LD is one of the biggest factors that impede firms' international behavior; it therefore requires much attention in terms of accuracy ([Figure 11](#)).

LD does not appear as a single ND element in IB research, but appears in combination with elements such as CD, Psy.D, ID and AD at a high frequency, which shows the importance of language in ND research. Unlike the other distance measures mentioned above, there are not as many measurement items; moreover, most of these items are mentioned perhaps once or twice, e.g. the element "degree of commonality of linguistic resources," which appears only once and is also of great research value. Therefore, there are many opportunities to expand the research on LD to make it more scientific and reasonable based on previous studies.

3.9 Financial distance

Whitley (1992) proposed the financial distance (FD) concept from theoretical sources, and [Berry et al. \(2010\)](#) systematically calculated this distance with the three dimensions of listed companies, private credit and market capitalization. Many FD scholars used [Berry et al.'s \(2010\)](#) method; more than 45% use these items ([Figure 12](#)). Most of the other elements are related to the economy,

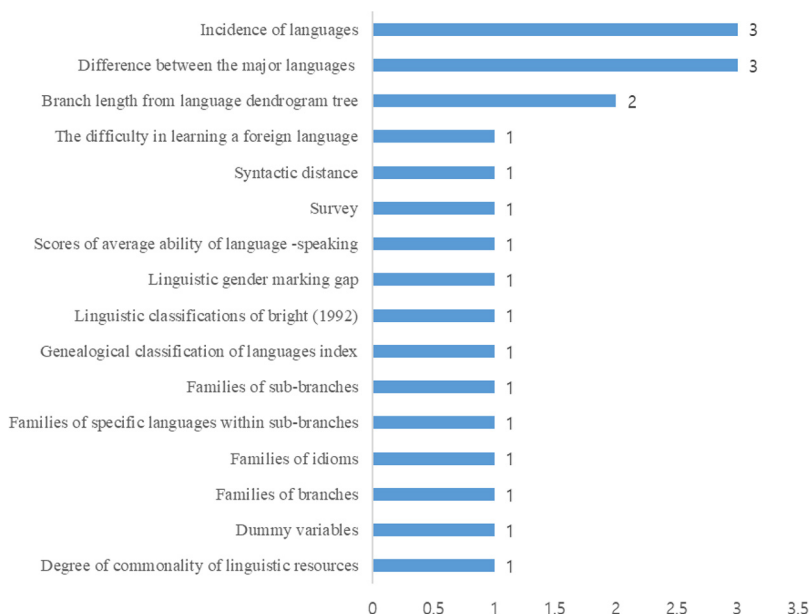


Figure 11.
The detailed items of
linguistic distance
(LD) measurement

but there are also some cultural items, WGI dimensions and others. Compared to the earlier distance measures, FD measurement is relatively easier to grasp and its influence is correspondingly limited compared, to the other dimensions of ND. Most of the scholars who study distance tend to use economic distance rather than FD to scale IB activities.

3.10 Other distance measures

Compared to the previous ND measures, fewer IB scholars study knowledge distance, democratic distance or global connectedness distance, leading to fewer measurement dimensions. [Berry et al. \(2010\)](#) disaggregated the construct of distance by proposing a set of multidimensional measures, including economic, financial, political, administrative, cultural, demographic, knowledge, global connectedness and GD. Additionally, their index is referred to by [Pattnaik and Lee \(2014\)](#), [Kang et al. \(2016\)](#) and [Lee et al. \(2016\)](#) to measure global connectedness (based on international tourism expenditure, international tourism receipts and internet users), and by [Pattnaik and Lee \(2014\)](#), [Li et al. \(2017\)](#) and [Arregle et al. \(2016\)](#) to measure demographic distance (by life expectancy, birth rate and population ages). Regarding knowledge distance, besides the popular WGI, differences in patents and scientific production, scientific articles, technological knowledge and knowledge access are also used to measure knowledge distance. Besides, [Berry et al.'s \(2010\)](#) method and items, there is little or no history of using other factors, as [Figure 10](#) shows. Because knowledge distance, democratic distance and global connectedness distance measurement are rare and do not have widespread recognition and affirmation in the field of IB, we can explore their academic value and use them selectively to make them more authoritative through research ([Figure 13](#)).

4. Discussion and conclusion

ND enables researchers to express cross-country differences in numerical values, which provides an important academic basis for the study of transnational activities in IB. With the development of international activities, ND is increasingly important in IB studies that

Figure 12.
The detailed items of
financial distance
(FD) measurement

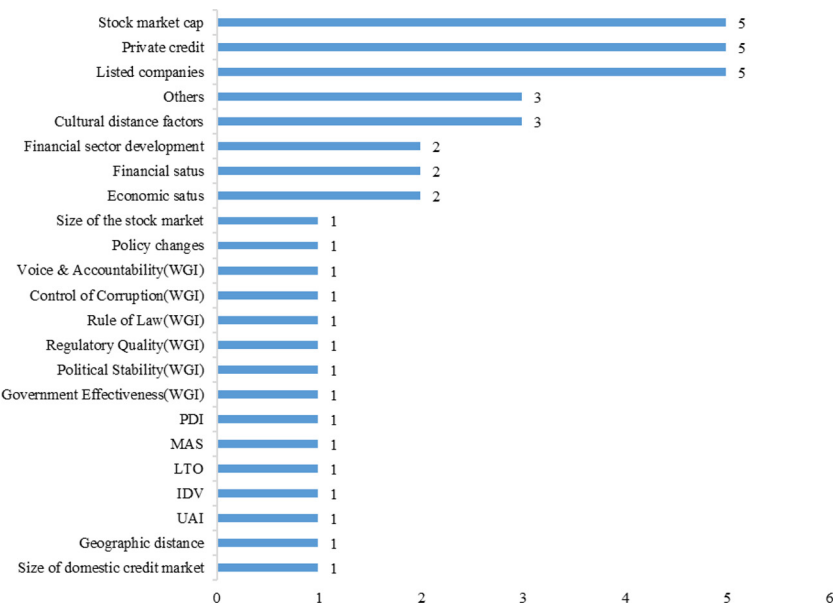
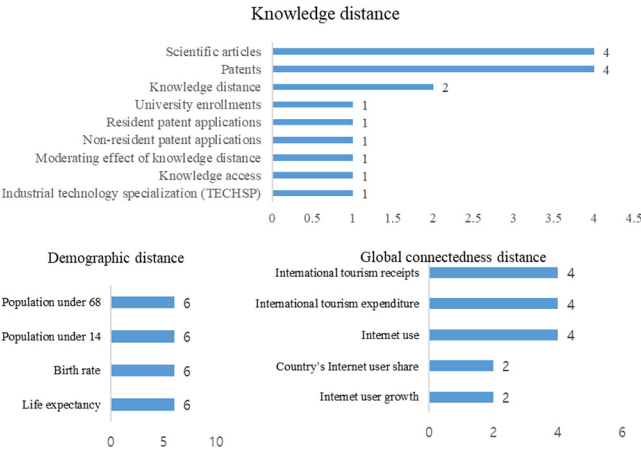


Figure 13.
The detailed items of
knowledge distance
(KD), demographic
distance (DD), global
connectedness (GC)
measurement



widely adopt various methods and measurements. To determine what ND really is, we selected all ND measure-related empirical studies in the top IB journals from 1980 to 2017 and investigated the particulars by reviewing each article to focus on the multidimensional nature of ND, content validity with our subjective judgement. We present our study's conclusions in more detail below, based on the quantitative and qualitative analyses. First, we find that the ND measurement factors are increasingly diverse. For example, the absence of most ND measures in the articles published in the 1980s means that there were no relevant empirical ND factors, but our review shows 107 items for measuring CD, 36 items for measuring GD, 104 items for measuring ID, 66 items for measuring Psy.D; other ND

items also gradually grew in number. While the large number of measurement items without a unified method makes ND research more complex, it points to considerable development in ND research which is currently highly active.

Second, the reciprocal-chiasmata use of distance items makes some ND measurements unscientific. The language factor as a measure of LD cannot be criticized, but it is also used as one of the elements of CD, Psy. D and even AD. In addition, Hofstede's CDs are the most used factors for scaling CD. However, it often appears in measurements of Psy.D, ID or even FD. Whereas the WGI factors are the main factors used to measure ID, some scholars treat them as measurement items for Psy.D or AD, while others even use them to measure FD. Moreover, the common ND items such as law, politics, religion and the economy are also seriously cross-used. Although some new attempts are beneficial to the discipline and development of ND studies, we should adopt reasonable methods to measure ND, but not misuse them. Each of our ND factor rankings has a positive contribution to ND item selection. We suggest using the ND top ranking factors as much as possible in empirical research.

Third, many ND factors do not appear individually as a single distance item in the current literature because it is difficult to represent the distance between countries in multifaceted studies. ND has gradually developed from a relatively single CD or GD to a variety of forms, and the research on ID, ED and KD shows an increasing trend. Especially with the emergence of CAGE framework, [Berry et al.'s \(2010\)](#) multidimensional measures, the ND has been frequently developed into a multi-dimensional comprehensive one. Spontaneously, the use of multiple ND items constitutes a comprehensively superior expression for these kinds of distance, as seen in research trends like studies using CD*GD, CD*GD*ID, AD*CD*GD*ED or AD*CD*DD*ED*FD*GC*GD*KD*PD. We should choose or create objective, scientific ND items by fully integrating our research topics. For example, when we study the transnational activities related to information exchange, GD would not be important; however, it would be better to consider it when conducting research on imports and exports.

In terms of practical contribution, when implementing transnational activities, enterprises must consider the "distance" between the host and home country in terms of geography, culture, language, economy, politics and so on, which usually hinder their activities and makes ND a hot research topic in international business (IB). If the effect of cultural distance measured by values is different from those measured by language, MNCs (Multinational corporations) should consider which kind of cultural distance stronger effect on trade. They may use one most appropriate to measure Cultural Distance among values, language, religion and belief. It is important for MNCs to select most appropriate one given that some countries may have short cultural distance with language, but longer cultural distance with values.

Moreover, most of the large number of articles we studied verified the impact of ND on IB activities. Most found that ND had a reverse relationship with IB activities with linear, parabolic linear or some other type of relationship. Some studies claimed that they had a positive relationship, while others showed that some ND factors had no correlation with certain IB activities. Based on the transaction cost theory and our analysis results, CD has a negative correlation with FDI activities and the larger GD means less trade opportunities, but the more frequent transactions between the two countries are, the influence of national distance become weaker. Compared with trade and FDI, the impact of ND on other IB activities, such as ownership choice in an acquisition, overseas human resource management, entry mode choice would be more complex as the role of administration, system and technology. Consequently, it is difficult for us to specify what ND factor to use

for a certain IB activity study. However, we can suggest the appropriate ND factor for the corresponding IB activities according to our previous study.

5. Limitation and future research

As an exploratory study that incorporates multiple dimensions and perspectives of cross-national distance in IB field into analysis and also draw some valuable implications, the present paper still has several limitations calling for future research.

First, we have tried to suggest efficient measurements for scaling the ND with 12 different factors, and show the subdirectory dimensions of every measure of distance (CD, ID and KD). Due to data limitations and the limitations on article length in many journals, it is not possible to test and verify each ND factor in only one paper by empirical analysis. Therefore, we will continue research to obtain an objective, scientific ND measure, and to establish a series of new ND models for different IB situations. Also, MNEs should be consider the validity when use various distances that have a strong influence on trade and investment.

Second, we sorted out each dimension of ND measurement by simple and time-consuming mathematical statistics based on the IB top 17 listed journals. Even we draw the results from these top journals, there should be done with non-IB fields journals as well as books. Therefore, our analysis could not provide ND development status in other areas and couldn't suggests the comparison analysis between IB and non-IB fields. In future research, we suggested that future study includes various journals by the method of snowball sampling. It could be interesting to investigates whether the way that scholars used national distance is different from those from non-IB journals. We also suggested that more research papers, and books need to be included for the analysis by using other data sources.

Third, meta-analysis should be necessary for the confirmation of whether ND measured by different items have different effect on other variables like trade. In addition to the analysis of ND distance measurement, we should make an accurate summary chart of the empirical relationship results between ND distance variables and international business activities, and the suggestions based on this analysis will be more persuasive.

Fourth, the concept development of ND as well as theoretical background are not perfect in our study. We plan to review a large number of previous studies to identify ND concepts in the future work. Previous literatures did not provide clear theoretical discussion or clarification that how many dimensions are reasonable to use. Future study could include a discussion on the view that variable selection and measurement should be based on the proposed mechanism that empirical studies set out in the hypothesis development section. Therefore, some researchers used only one dimension (Malhotra, and Gaur, 2014) for their papers, some researchers used four dimensions (e.g. CAGE model) or nine dimensions (Berry et al., 2010). Therefore, future study will require theoretical explanation for rationale to use various dimensions and analysis of whether it is desirable to use several dimensions.

Fifth, the Kogut and Singh (1988) index, as one of the most popular measures based on deviations among the cultural dimensions, is also used to calculate other ND dimensions. As it is a mathematical calculation using the Euclidean method, which has some shortcomings according to many scholars, we should use some more precise mathematical formulas to measure ND in future studies.

Moreover, the selection of dimension requires more carefully to base on the theoretical framework in future research. For instance, cultural distance measured by various dimensions such as value (Kogut and Singh index), language and religion. Therefore, it is essential to analyze in detail what dimension is most appropriate to measure CD among several dimensions. Additionally, further analysis is necessary when different in measurement items has different effect on CD. The existing theories could be good

explanation why the result has different result by selection of different dimensions to measure CD. The existing Transaction cost theory possibly explain the result of negative relationship between CD and trade. However, it would be more appropriate to explain to learning theory if there are differences in the impact of cultural distance measures (value-based cultural distance vs language-based cultural distance measurements) on trade.

Note

1. According to Journal Quality List by Harzing, August 31st, 2017, The top IB journals are listed as: Journal of International Business Studies (JIBS), International Business Review (IBR), Journal of World Business (JWB), Journal of International Management (JIM), Management International Review (MIR), Asia-Pacific Business Review (APBR), Asia-Pacific Journal of Management (APJM), European Journal of International Management (EJIM), Cross-Cultural Research (CCR), Critical Perspectives on International Business (CPIB), Corporate Governance: An International Review (CG), Europe Asia Studies (EAS), Journal of East-West Business (JEWB), Multinational Business Review (MBR), Thunderbird International Business Review (TIBR), International Studies of Management & Organization (ISMO) and Journal of Asia-Pacific Business (JAPB).

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